

Advantages

Algorithmic trading provides investors with many benefits such as:

- *Lower Commissions.* Commissions are usually lower than traditional commission fees since algorithmic trading only provides investors with execution and execution-related services (such as risk management and order management). Algorithmic commissions typically do not compensate brokers for research activities, although some funds pay a higher rate for research access.
- *Anonymity.* Orders are entered into the system and traded automatically by the computer across all execution venues. The buy-side trader either manages the order from within his firm or requests that the order is managed by the sell-side traders. Orders are not shopped or across trading floor as they once were.
- *Control.* Buy-side traders have full control over orders. Traders determine the venues (displayed/dark), order submission rules such as market/limit prices, share quantities, wait and refresh times, as well as when to accelerate or decelerate trading based on the investment objective of the fund and actual market conditions. Traders can cancel the order or modify the trading instructions almost instantaneously.
- *Minimum Information Leakage.* Information leakage is minimized since the broker does not receive any information about the order or trading intentions of the investor. The buy-side trader is able to specify their trading instructions and investment needs simply by the selection of the algorithm and specifications of the algorithmic parameters.
- *Transparency.* Investors are provided with a higher degree of transparency surrounding how the order will be executed. Since the underlying execution rules for each algorithm are provided to investors in advance, investors will know exactly how the algorithm will execute shares in the market, as algorithms will do exactly what they are programmed to do.
- *Access.* Algorithms are able to provide fast and efficient access to the different markets and dark pool. They also provide co-location, low latency connections, which provides investors with the benefits of high speed connections.
- *Competition.* The evolution of algorithmic trading has seen competition from various market participants such as independent vendors, order management and execution management software firms, exchanges, third party providers, and in-house development teams in addition to the traditional sell-side broker dealers. Investors have received the benefits of this increased competition in the form of better execution services and lower costs. Given the ease and flexibility of choosing and switching between providers, investors are not locked into any one